

Indian IT firms face muted Q1 as AI shift, weak demand weigh



FILE PHOTO: A man walks past a logo of Tata Consultancy Services (TCS) before a press conference announcing the company's quarterly results in Mumbai · Reuters

Haripriya Suresh and Bharath Rajeswaran

Mon, July 6, 2026 at 3:15 PM GMT+5:30 • 2 min read



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By Haripriya Suresh and Bharath Rajeswaran

BENGALURU, July 6 (Reuters) - India's top information technology companies are expected to report another subdued quarter, as AI-driven pricing pressure, weak client spending, and global geopolitical turmoil continue to weigh on growth, nine brokerages said.

How is AI disruption affecting India's IT sector performance?

What factors are driving subdued growth for Indian IT companies?

What revenue growth expectations do brokerages have for IT firms?

The April-to-June quarter is usually a strong one for India's \$315 billion IT sector, helped by higher billing days and new project starts, but analysts expect a slow start to the fiscal year that would push back hopes of a recovery.

India's largest IT services company, Tata Consultancy Services, kicks off earnings on Thursday with peers Infosys, HCLTech and Wipro reporting later this month.

While India's top six IT firms are expected to report around 14% year-on-year revenue growth in rupee terms with net profit rising 12%-13%, this would largely be due to the impact of sharp rupee depreciation. Stripping out exchange rate effects, the companies are expected to post a mere 2.8% revenue growth in constant-currency terms.

Citi expects a fourth straight year of subdued growth for Indian IT firms, while JPMorgan sees revenue growth staying below 3%-4% for the "foreseeable future".

The IT sector is racing to adapt to changing customer needs as companies across the globe step up the use of [AI](#) tools and agents to cut costs and quicken software development cycles.

Software firms have slowed hiring, with TCS Chairman N Chandrasekaran saying the "day is not far" when the company would have an equal number of AI agents and employees.

Indian IT firms are in a "perfect storm," Nomura said in its earnings preview, with Middle East conflict-led uncertainty compounding AI-driven pricing pressure.

Fears that AI would disrupt the IT sector's traditional, labour-intensive business model dragged the Nifty IT index down 9.5% in the June quarter even as India's benchmark Nifty 50 gained 6.9%.

The IT index has slumped about 28% so far in 2026, making it the worst-performing major sector in India.

The impact of AI-led disruption and weakness in client spending will be broad-based, according to PL Capital, with effects visible in the consumer, hi-tech, and telecom verticals.

"Slower decision-making and elongated sales cycle are leading to delays in revenue conversion and execution," the brokerage said in a note.

Annual revenue forecasts will be a key focus for investors. Brokerages say Infosys and HCLTech could narrow or trim the upper end of their forecasts.

Potentially higher interest rates in the U.S., which makes up about 60% of Indian IT firms' revenue, also loom.

(Reporting by Haripriya Suresh and Bharath Rajeswaran in Bengaluru; Editing by Mrigank Dhaniwala)

Goldman Warns AI Earnings Surprise Wave May Fade Despite 22% Growth Forecast

Khac Phu Nguyen

Wed, July 8, 2026 at 9:57 PM GMT+5:30 • 1 min read



GS ☆

This article first appeared on [GuruFocus](#).

Goldman Sachs Group ([NYSE:GS](#)), a global investment banking and asset management firm, has [cautioned](#) that the AI-fueled earnings surprise cycle that helped power stocks in the last reporting season may be difficult to repeat. Christian Mueller-Glissmann, Goldman's head of asset allocation research, said companies are still likely to beat expectations, but the bar for this earnings season is already high. Goldman's consensus forecast points to 22% second-quarter earnings growth for S&P 500 ([SPY](#)) companies, broadly matching estimates compiled by Bloomberg Intelligence.

- [Warning! GuruFocus has detected 8 Warning Signs with GS.](#)
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Mueller-Glissmann emphasized that investors may now pay closer attention to outlooks and management commentary, rather than just headline earnings beats, as they assess whether equities have more room to move higher. He noted that late-cycle

earnings revisions can continue for some time, but the large AI capex-linked earnings surprise wave appears to be closer to its end. This suggests the market may require stronger forward-looking signals before pricing in another major rally.

The largest U.S. technology firms are planning to spend as much as \$725 billion this year on data centers, specialized chips, and networking equipment, underscoring the scale of the AI investment cycle. Mueller-Glissmann said hyperscalers remain well-positioned because they control significant AI infrastructure, while adding that they should begin focusing more on efficiency and AI monetization. He also said Goldman's view is that the broader structural AI trend remains intact, even as investors may become more selective about which companies can convert AI spending into earnings growth.

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Gartner (IT) Declines Amid Signs of Slowing Growth

Soumya Eswaran

Wed, July 8, 2026 at 5:05 PM GMT+5:30 • 3 min read



IT ☆ CL=F ☆

Artisan Partners, an investment management firm, issued its first-quarter 2026 investor letter for the "Artisan Mid Cap Value Fund". A copy of this letter is available for [download here](#). In Q1 2026, the portfolio underperformed the benchmark Russell Midcap Value Index as the market favored momentum-driven stocks over quality factors. Some holdings faced company-specific setbacks and negative sentiment. The Fund's Investor Class: ARTQX returned -4.93%, Advisor Class: APDQX declined by -4.90%, and Institutional Class: APHQX fell by -4.97%, all trailing the Index's 3.68%

gain. The equity market in the quarter was mixed, with mid- and small-cap indices showing resilience despite lagging large-cap growth stocks. Volatility increased, initially fueled by interest in AI and private credit, but escalated after the outbreak of war in Iran, leading to rising oil prices. Sector performance varied, with energy leading the gains. The Fund continues to seek companies capable of value growth during market dislocations at attractive entry points. Also, review the Fund's top five holdings to see its best picks for 2026.

In its first-quarter 2026 investor letter, Artisan Mid Cap Value Fund highlighted Gartner, Inc. (NYSE:[IT](#)). Established in 1979, Gartner, Inc. (NYSE:IT) is a research and advisory company that provides business and technology insights to help businesses make informed decisions. On July 7, 2026, Gartner, Inc. (NYSE:IT) closed at \$140.80 per share. One-month return of Gartner, Inc. (NYSE:IT) was -9.11%, and its shares lost 64.30% over the past 52 weeks. Gartner, Inc. (NYSE:IT) has a market capitalization of \$9.43 billion.

Artisan Mid Cap Value Fund stated the following regarding Gartner, Inc. (NYSE:IT) in its Q1 2026 investor letter:

"Among the biggest decliners were ICON, Humana, **Gartner, Inc.** (NYSE:IT) and Pinterest, each of which dropped by 30% or more during the quarter. Gartner, a technology and business advisory firm, declined following signs of slowing growth and a weaker-than-expected outlook for 2026. Its core research business has been affected by several cyclical headwinds, including US government cost-cutting, uncertainty around trade policy and longer sales cycles. At the same time, some investors have become concerned about the potential long-term impact of artificial intelligence on Gartner's business model. While we take these risks seriously, we believe the company's current challenges are primarily cyclical, and any meaningful disruption from AI is likely to play out over a longer time horizon. Gartner continues to generate strong free cash flow, maintains a solid balance sheet and has been returning capital to shareholders. Total dividend payments of \$0.40 per share were made in 2025.

Investing.com

India regains favor as investors seek shelter from AI-driven market swings

Simon Mugo

Sun, July 5, 2026 at 8:43 AM GMT+5:30 • 1 min read



NSEI ☆

LCO ☆

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Investing.com -- Indian equities are attracting renewed interest from global investors as concerns over the sustainability of the artificial intelligence-driven rally prompt a shift toward markets viewed as more defensive, Bloomberg reported.

India's lack of major AI-related stocks weighed on its market earlier this year as investors favored technology-heavy markets such as South Korea and Taiwan. As volatility has picked up across AI-linked assets, that relative underexposure is increasingly being viewed as an advantage.

The NSE Nifty 50 outperformed the MSCI Emerging Markets Index by the widest margin since November in June, while foreign investor outflows slowed to their lowest level in four months.

Market participants also point to India's relatively stable trading pattern. During the first half of 2026, the Nifty 50 recorded daily moves of 1% or more less frequently than most major emerging market benchmarks, making it an attractive diversification play as investors navigate heightened volatility.

The macroeconomic backdrop has also improved. A stabilizing rupee, easing oil prices, and softer commodity costs have reduced inflation concerns and improved expectations for economic growth, helping lift sentiment toward Indian equities.

Attention is now turning to the upcoming earnings season, with Tata Consultancy Services set to report results later this week. Investors will be looking for signs that lower input costs and steady domestic demand translate into stronger corporate earnings.

Several strategists have also become more constructive on India in recent weeks, arguing the market's combination of stable inflation, resilient economic growth and lower volatility makes it a differentiated opportunity within emerging markets.

Recent declines in India's volatility index have reinforced that view, with analysts expecting the market to benefit if investors continue rotating away from AI-driven trades.

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Investors Looking for Shelter From AI Storm Are Turning to India

Savio Shetty and Samie Modak

Sun, July 5, 2026 at 7:30 AM GMT+5:30 • 3 min read



(Bloomberg) -- After losing out big on the global AI rally, Indian equities are regaining the attention of investors seeking to weather the latest market turbulence.

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With the artificial intelligence frenzy roiling benchmark gauges from Asia to the US, the NSE Nifty 50 Index is becoming a safe haven of sorts for global investors. In the first half of the year, it moved 1% or more on just about one-third of the days — less than the MSCI Emerging Markets Index and barely more than the S&P 500 Index.

India's lack of AI plays has been a hurdle most of the year as investors turned to markets like South Korea and Taiwan that delivered stellar returns. But with concerns mounting over the sustainability of that trade, interest in India is slowly coming back. In June, the Nifty 50 outperformed the MSCI Emerging Markets Index by the most since November, while foreign outflows were the smallest in four months.

"India's calm comes down to one thing: It sits outside the AI trade," said Maxence Visseau, chief investment officer of Arkevium Capital in Dubai. His firm is neutral on the market and uses it as a diversifier, he said. "India works as an AI hedge inside the EM complex."

Also read: [The Leveraged AI Bet That's Whipsawing Markets Around the World](#)

Indian equities remain some of the world's worst performers this year, but the tide is starting to turn as the rupee stabilizes after hitting a record low and oil gains that tanked shares of refiners and airlines recede on easing tensions in the Middle East.

That's reduced inflation concerns and brightened prospects for India's economic growth, according to a government report at the end of June.

At the same time, market players are getting more upbeat about the upcoming earnings season, which Tata Consultancy Services Ltd. kicks off on Thursday.

"The fall in commodity prices has altered the macro outlook for India almost overnight," said Sandip Sabharwal, founder of research house Asksandipsabharwal.com in Mumbai. "Lower commodity prices, improving capital flows and stable interest rates create an environment where earnings upgrades are likely to exceed downgrades over the coming quarters."

In a note to clients, Morgan Stanley analysts including Ridham Desai wrote last month that India has become a "much larger macro asset class." The less volatile inflation data in recent years support equity valuations and turn the market into one of defensive growth that can withstand global shocks better than it used to. they said.

Story Continues

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SIMPLY WALLST

Infosys (NSEI:INFY) Stock Sees Modest Fair Value Cut As AI Hopes Meet Choppy Demand

Bailey Pemberton

Fri, July 3, 2026 at 6:47 PM GMT+5:30 • 3 min read



INFY.NS -1.73% ☆

INFY ☆

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Infosys sits at the center of a fresh reset in analyst expectations, with one key model trimming its fair value estimate from ₹1,460.95 to ₹1,395.13, a reduction of about 4.5%. That shift lines up with recent research that mixes optimism about Infosys exposure to AI with caution around growth execution, tech spending trends, and the timing of any benefits from new AI related work. As you read on, you will see how these changing price targets, research notes, and deal headlines can help you track the evolving Infosys investment story.

Stay updated as the Fair Value for [Infosys](#) shifts by adding it to your [watchlist](#) or [portfolio](#). Alternatively, explore our [Community](#) to discover new perspectives on Infosys.

What Wall Street Has Been Saying

Bullish Takeaways

- JPMorgan keeps an Overweight rating on Infosys, indicating the firm still sees the stock as relatively attractive within India IT services even after revising its price target to US\$12.70.
- Across recent notes, including JPMorgan, analysts acknowledge that Infosys is exposed to generative AI trends, which could support longer term deal activity if the company converts interest into concrete projects.

Bearish Takeaways

- Wells Fargo initiated Infosys at Equal Weight with a US\$11 price target, flagging a "choppy" demand setup and the view that the stock lacks clear near term catalysts. The firm prefers to wait for more evidence before turning more positive.
- JPMorgan describes India IT services demand as uncertain, citing an "unprecedented confluence" of generative AI related cost pressures and geopolitics.

The firm notes that tech services budgets are being crowded out by spending on AI tokens and cloud, which can weigh on Infosys growth visibility.

Do your thoughts align with the Bull or Bear Analysts? Perhaps you think there's more to the story. [Head to the Simply Wall St Community to discover more perspectives!](#)



NSEI:INFY 1-Year Stock Price Chart

[We've flagged 1 risk for Infosys. See which could impact your investment.](#)

How This Changes the Fair Value For Infosys

- The fair value estimate has been revised from ₹1,460.95 to ₹1,395.13, reflecting a reduction of about 4.5% in the analyst estimate.
- The revenue growth assumption has been adjusted from 4.05% to 3.70%.
- The net profit margin assumption has been updated from 16.22% to 16.29%.

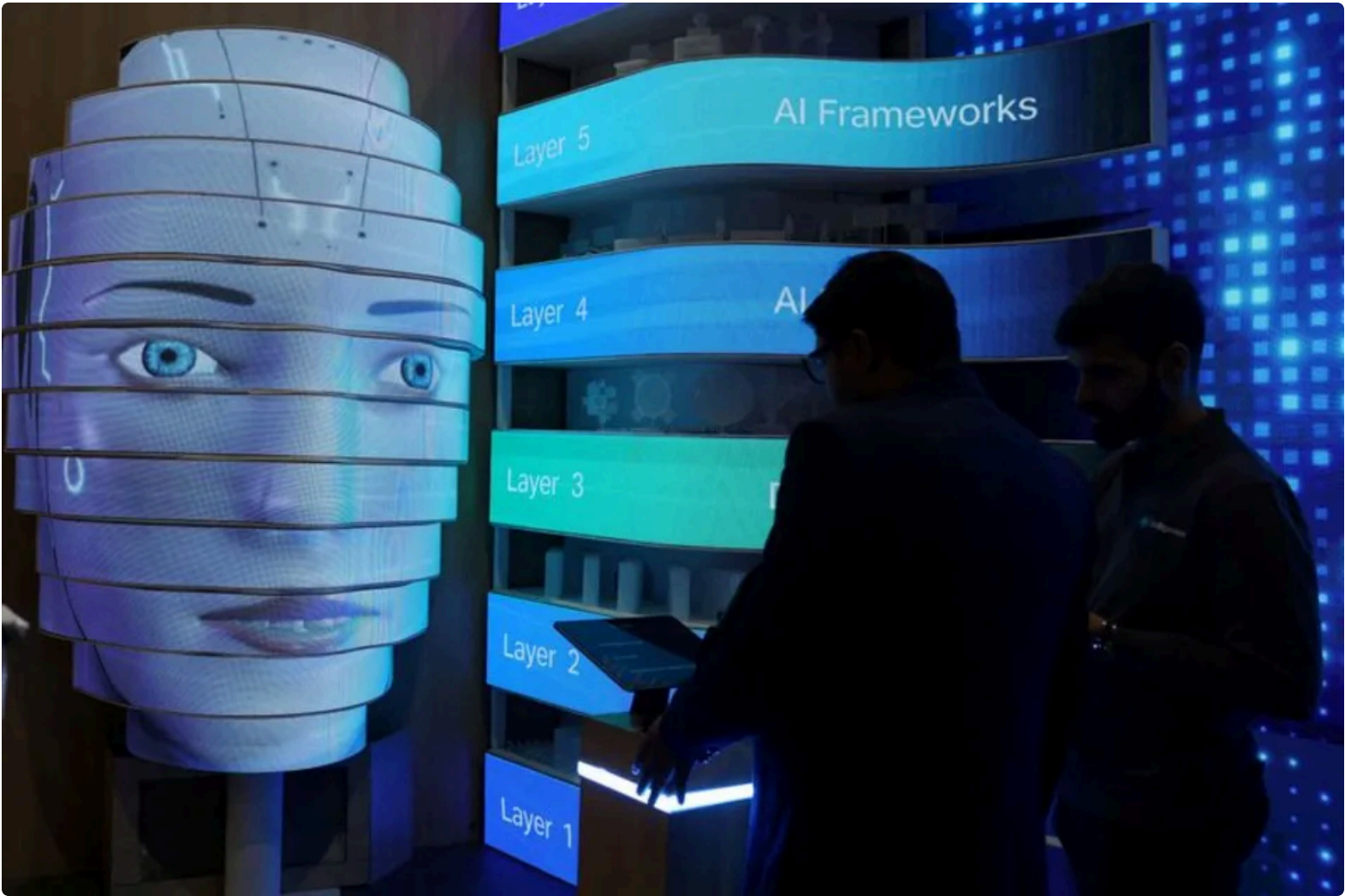
- The future P/E multiple has been changed from 24.1x to 23.1x.
- The discount rate has been updated from 15.15% to 15.20%

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AI hiring outpaces overall IT recruitment in India, report shows



FILE PHOTO: AI Impact Summit in New Delhi · Reuters

Reuters

Fri, July 3, 2026 at 5:46 PM GMT+5:30 • 1 min read



BENGALURU, July 3 - Hiring for AI roles within India's IT sector outpaced overall recruitment within the industry last month, a survey showed on Friday, indicating a push from companies to reorient themselves in the face of evolving technology.

The sector's AI hiring rose 16% year-on-year in June, while overall IT jobs declined 3%, according to job portal Naukri's monthly JobSpeak report that collated job listings from more than 150,000 firms on its website.

India's \$315 billion IT industry has been under pressure with clients holding back on spending on technology due to a weak macroeconomic environment and the advent of AI that threatens their traditional business model.

"The divergence (between [AI](#) and overall IT hiring) is important because it shows where tech companies are still investing. AI is increasingly becoming a core capability area, especially as demand shifts towards more senior and specialised talent," said Hitesh Oberoi, CEO at Info Edge, which owns Naukri.

The country's No.1 software exporter, Tata Consultancy Services, last month said it expects IT companies to slow down hiring, with the Tata Group firm moving towards having an equal number of employees and AI agents in its workforce.

Last July, the firm cut more than 12,000 jobs, while headcount fell by more than 23,000 on a net basis in the fiscal year ended March 2026.

Across 14 sectors, AI and machine learning jobs increased 25%, the report added. The insurance and consumer goods sector showed the most increase in job hiring during the period, it said.

(Reporting by Sai Ishwarbharath B in Bengaluru;)

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Employees of HCLTech walk inside the office premises on outskirts of Lucknow · Reuters

Reuters

Fri, July 3, 2026 at 9:43 AM GMT+5:30 • 1 min read



HCLTECH.NS +0.42% ☆

BENGALURU, July 3 (Reuters) - India's HCLTech has won a \$1.14 billion deal with a major European firm, the software services exporter said on Friday.

The announcement pushed HCLTech's shares up by as much as 6.3%, boosting gains on the Nifty IT index, which was up 2.7%.

Here are some details:

- The deal will help HCLTech establish an AI-driven operating model to transform and manage the client's global digital workplace and enterprise networks, the company

said.

- The deal will last for five-and-a-half years and is extendable by another five years, it added, without providing further details about the European firm.
- This is entirely new business for the company, HCLTech said, and not from an existing client or a deal renewal.
- This is the largest deal HCLTech has announced since winning a \$2.1 billion deal with Verizon in August 2023.
- HCLTech, which will report its results for the first quarter of fiscal 2027 on July 13, has forecast revenue growth of 1%-4% for the year.

(Reporting by Haripriya Suresh in Bengaluru; Editing by Janane Venkatraman and Rashmi Aich)

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